

assets, compared to \$8.34 trillion in actively managed ones)¹⁵ to the advent of commission-free trading (major brokerage houses dropped their rates to zero late in 2019) and the popularity of grading investment securities by the degree of compliance of their corporate issuers with the agenda of the “environmental, social and governance” reform movement.

Federal securities regulation was a new thing in the 1930s. What had preceded the Securities and Exchange Commission was, at its best, a regime of tribal sanction. Some things were simply beyond the pale, for instance, the solicitation of retail orders for initial public offerings (the risks and rewards of which were reserved for professionals). Both during and immediately after World War I, no self-respecting NYSE member firm would facilitate a client’s switch from Liberty bonds into potentially more lucrative, if less patriotic, alternatives. There was no law against soliciting such a swap. Rather, according to Graham, it just wasn’t done.¹⁶

A great many things weren’t done in the Wall Street of the 1930s. Newly empowered regulators were resistant to financial innovation, transaction costs were high, and technology was (at least by today’s digital standards) primitive. After the vicious bear market of 1937–1938, not a few investors decided they’d had enough. What was the point of it all? “In June 1939,” approvingly writes Graham in a footnote in the second edition concerning financial innovation, “the S.E.C. set a salutary precedent by refusing to authorize the issuance of ‘Capital Income Debentures’ in the reorganization of the Griess-Pfleger Tanning Company, on the ground that the devising of new types of hybrid issues had gone far enough.” (Chap. 5, Note 4)

¹⁵ Morningstar Direct quoted in Allan Sloan, “The Democratization of Investing,” Yahoo Finance, May 22, 2022.

¹⁶ *The Memoirs of the Dean of Wall Street*, p. 169.